WE’RE IN THE THUNDER PERIOD (Guest: Anthony Scilipoti)

Podcast: Market huddle

AI Executive Summary

Core Thesis

The episode centers on Anthony Shillapati, founder of Veritas Investment Research, discussing the recurring themes of accounting shenanigans, market manias, and the current state of the financial markets. Shillapati emphasizes the importance of forensic accounting and critical analysis to navigate the complexities of modern financial markets, drawing parallels between past market bubbles and the current environment, particularly in sectors like technology and real estate.

Key Arguments & Data

1. **Background and Early Career:**
2. Anthony Shillapati started his career as an entrepreneur, delivering papers and selling counterfeit shirts, which taught him about scaling businesses and negotiation.
3. He transitioned into accounting and eventually forensic accounting, working with Al Roden, a famous forensic accountant, and teaching at York University.

4. In 1999, Shillapati and his team began writing reports on companies, focusing on accounting practices and shenanigans, which initially faced pushback but eventually gained traction.

5. **Nortel and the Dot Com Bubble:**

6. Shillapati highlighted Nortel as a pivotal case, noting the company's aggressive accounting practices, such as vendor financing and misreporting of acquisitions, which ultimately led to its bankruptcy.

7. The episode underscores the importance of detailed financial analysis and the risks of relying on market euphoria, as evidenced by the dot com bubble and subsequent financial crisis.

8. **Current Market Environment:**

9. Shillapati warns of the current market environment's resemblance to the dot com bubble, with companies using customer financing and guaranteeing lease payments to fund growth.
10. He points out that off-balance sheet liabilities and accounting changes could signal potential issues, as seen in the case of Nortel.

11. The episode discusses the concentration of the market, particularly in tech stocks, and the risks associated with passive investing.

12. **Real Estate and Banks:**

13. Shillapati expresses concern over the real estate market, predicting significant pain and displacement, which could eventually affect the banks.

14. He notes that while banks are currently performing well, a downturn in the real estate market could lead to job losses, impacting the overall economy and the financial sector.

15. **Private Markets and Risk:**

16. Shillapati discusses the expansion of private markets and the risks associated with them, such as the use of insurance vehicles and the potential for significant losses among private investors.
17. He warns that the current market environment is choppy and requires careful stock picking, as companies that miss expectations can experience significant stock price drops.

Actionable Takeaways

1. **For Investors:**
2. **Critical Analysis:** Investors should adopt a forensic approach to financial analysis, focusing on the sustainability of earnings and business practices.
3. **Diversification:** Diversify investments to avoid overexposure to sectors prone to market bubbles, such as tech and real estate.

4. **Active Management:** Consider active management strategies over passive investing, given the current market conditions.

5. **For Institutions:**

6. **Due Diligence:** Institutions should prioritize due diligence and independent research, especially when dealing with complex financial instruments and off-balance sheet liabilities.

7. **Risk Management:** Implement robust risk management strategies to mitigate the impact of potential market downturns, particularly in sectors like real estate and private markets.

8. **For Retail Investors:**

9. **Stock Picking:** Focus on individual stock selection based on fundamental analysis, rather than relying solely on market trends.

10. **Stay Informed:** Stay informed about market developments and economic indicators to make timely investment decisions.

11. **For Veritas Research:**

12. **Client Engagement:** Veritas should continue to engage with clients, providing independent and forensic-based research to help them navigate the complexities of the market.
13. **Research Focus:** Maintain a focus on detailed financial analysis and the avoidance of risky investments, as highlighted by past market bubbles and current market conditions.

Diarized Transcript

SPEAKER_00: It's Friday, November 6, 2026, episode 305. I'm Kevin Muir and I have the great pleasure to be welcomed to the show today, Anthony Shillapati. He is the founder of Veritas Investment Research, Canada's largest research boutique. Anthony, thanks for joining us today. Kevin, it's a pleasure. And as a great Canadian, I see that you actually come prepared. You have your own beer. Yep. What are you drinking today? I'm drinking

SPEAKER_03: beer it's a light IPA yeah called the Lacey hero and it's from a local brewery called Cameron's yeah right here in Oakville Ontario and I'm always supporting the independence I don't buy chain beer I don't buy chain anything

SPEAKER_00: That's what happens when you're the largest independent research shop. You're always looking out for the little guy. I'm drinking Party Dad IPA, which is definitely not my style. It's both an IPA and it's Party Dad, which is what I'm not, but we're going to give it a whirl. Is that a collective arts? It's a Nickel Brook brewing. Oh, also an independent. There you go. I knew that was going to be the case. That's how we roll. It is. All right. So it's not often that I get to say that I have a forensic accountant on the show. When you grew up in high school and university, do you think you wanted to be a forensic accountant? How did this come about? Zero. I grew up as an entrepreneur. I started out delivering papers. I was barely 10 years old, 11.

SPEAKER_03: And I started out with a paper route locally and that became one that I took over all the neighboring routes and from my friends who didn't want to do it every day. So I said to them, well, what days can you do it? And they said, well, I can only do Wednesdays, Thursdays, Fridays. I said, fine, I'll do all the other days, you do the old days. And I didn't realize what I had figured out how to do. But I figured out how to scale things and also how to get people to align with the view and build something. Anyway, after that, followed that up doing work in a grocery store, shining apples at 3.25 an hour. And then I got into the clothing

business. And the clothing business was a lot of fun. I grew up right here in Toronto and I was at St. Mike's in high school. And one of my buddies started selling, remember those Boss Chanel shirts on outside Dundas there and various parts of the city? So he said, look, I got this going on. But I need people, you know, everybody at the school. Well, you can get people riled up. How about we get some people to help up? And I said, okay, we can do this. So we started out counterfeit shirt shirts down at the desk. So you're telling me? Yeah. And so, but you know, we learned again how to build a business. We understood how to negotiate, how to run from the cops. And that didn't work. And I said to him, I say, he's still a friend today, Will. I said, Will, I don't run from cops. It's not my shtick. I said, I'm going to just take everything we've learned and all the contacts we have, and I'm going to sell all kinds of promotional products to companies. So my dad's in the furniture manufacturing business, and I'm working for him in the summer by this point. and all his suppliers, all his business customers, I go see them and say, hey, do you need hats, jackets, pens, watches, whatever? And we did it. And today my mother runs that business. Yeah. So you go to university and you say, I should learn how to do accounting. Is that basically how that works? I'm going to speed up everything now. I went to university taking commerce because I love business. Yeah. And I wanted to be a lawyer. So I did everything in high speed in my life. And in second year, I was going to get into law school. And I studied a little bit, but not much. I scored under 70. That's not going to work. So I wrote it again. I scored about 76 or something. Again, I'm not getting in after second year. And I'm liking this accounting. And I'm liking this business. And the reason why is because when I file my taxes, I figured that once all the magic of what I learned allowed me to create how much tax I was going to pay. And I said, this is amazing. And companies do this in terms of how they run their business and changing the accounting. I said, it just fascinated me. So that's it. I stumbled into become an accountant. I hated audit, but I met some interesting people along the way, Al Roden being one, who was a famous forensic accountant, and he gave me perspective and said, look, you're learning about businesses. And then I ended up working with him doing litigation work, due diligence work, and I loved it. And billing by the hour is a problem. And then I said, you know what, we're gonna get into the stock market.

SPEAKER_00: And we started writing about companies. Right. OK. So you're working with this fellow, Al Rosen, and he's a forensic account. You guys are doing this. And then you say, well, we're going to take our skills and we're actually going to apply them to the stock market. And what, this is the mid 90s? Like when? Yeah. So it's mid 90s. And I'm teaching at York University and teaching accounting. And I'm using in class companies like

SPEAKER_03: Laidlaw, Loewen Group, Future Shop, Chapters, and I'm showing how they're kind of cooking the books. So one of our students, he's head of research at a brokerage firm, Michael Palmer, he says, hey, can you write about this stuff? I'm like, I don't know, Al, what do you think of this? He says, well, yeah, this is great. So you start writing some reports and it's 1999. Nobody cared about governance. No auditors weren't auditing. Analysts weren't analyzing. They're just worrying about the next deal. Sounds like 2026. It was actually a phenomenal hunting ground for us. We wrote about all, every company we wrote about, most don't exist. And then we wrote about Nortel. And that was February of 2000. We lost clients. We were laughed out of meetings. John Roth.

SPEAKER_00: in the newspaper said, hey, you guys are hurting our ability to raise capital in the U.S. and little bear tests put a name for ourselves. Yeah. And OK, so you were writing about like just the two of you were, you know, created this this this niche where you started talking about the shenanigans. Let's just say that we're going on at these shops with in terms of the the accounting specifically. Is that correct? Like Just kind of like you were, you know what, like David Einhorn got famously on CNBC and started talking about the SPVs in 2008. But you guys have been doing this back in the in the late 90s, early 2000s. Yes. Yep. And when does Veritas get born? October 1st, 2000. OK, so it's actually at the other side of like the dot com had already crack or at least peaked what just cracked a little bit right and so then and who are your clients like what and what do they want to hear pension funds mutual funds institutional investors those were our clients and what was that still today many are still our clients today for sure we both we both know a fellow that has been with you from day one is that's correct biggest the supporters and And I was kind of shocked at the length of your relationship and how long you've been going and stuff. But what was that like being, you know, all of a sudden this person out there in

the wilderness talking about things that previously nobody had wanted to talk about and they were negative. You must have been getting, like, as you mentioned, some bad press from the company, some pushback. But at the same time, you're also getting positive feedback from the clients that are saying, hey, wait, nobody else is saying these things. Talk to me about how that must have felt to be in the midst of such a push and pull, a yin and yang. It's actually very stressful. But at the time, in 2000, I was 29 years old. I didn't know anybody. I like to tell the story that I hardly could spell the word stock.

SPEAKER_03: I didn't understand that there were board members and those were all people that all knew each other. For me, I focused on the accounting and I said, well, wait a minute, this debit sitting on the balance sheet makes the earnings higher. And they made a choice to do that. Had they put it on the income statement, it would have been a different thing. Look, they changed their revenue recognition policy. Had they not done that, the earnings would have been different. What I saw was that it angered managements. At first, I was terrified. The first report that had pushback was Bombardier. This is 2001 stocks near 20 bucks. And I'm saying they're cooking the books. And I had no idea that the connections of the Bombardier family to the government, all these relationships. And I think if I had done it today, because of all the people I know and how much I know the ramifications of being wrong, it would be more difficult. So I think You know, timing is everything in life. I was young enough to be unaware of what I was doing, but yet smart enough or I had a skill that was unique and I was willing to just use that skill. And, you know, at first it was hard to get clients because no one wants to hear negative things. If you're a portfolio manager and I say, you know what, this is a sell. Well, clients don't want to pay. I'm telling you, essentially, you're wrong. And your whole career is tied to being right. And you own a position. It became personal for many. And they said, you know, the, the industry, the institutional industry is a voting. That's how you get paid. So they vote to allocate commissions. So We had one client, I'll never forget. He said, I'm giving you negative votes because if anyone in my shop votes positively, I'm offsetting it. And what I saw that people said, you're hurting my ability to manage money and you're hurting my positions. It's because of you, Anthony. You know, that's why we called the business fair test. We struggled. What are we going to call this thing?

And then we said, well, what do we do? We just tell the truth. We're not here to hurt anybody. And over time, what I've learned is that I can tell right away if someone could be a client. If you don't like hearing that, you know, that shirt doesn't fit you well or something else that might hurt your feelings, we're not going to be able to do business. Right. because I'm here to help. We only get paid by the companies that read the research. If we don't perform, we don't get paid. Someone has salad in their teeth, is willing to tell them that. Right. If we had been wrong, I have to say, on Nortel, you probably wouldn't be interviewing me. Right.

SPEAKER_00: But you weren't. You were spot on correct. If you're going to do something that's out there, you better test it a million times and you better be right. Right. Let's talk a little bit about Nortel because that was really the company that made you, wasn't it? In terms of your call and you were highlighting the vendor financing and things like that. Walk me through. How that evolved what you saw were you shocked when you when you realized it? Like was it one of these things where you kept saying this can't be I got to go back Couldn't it be the market is this wrong? And for those who don't know Nortel was Canada's largest company was you know Nortel and Bell I think were 40 or 50 percent of the Canadian stock index well 40 yeah, and they went you know Nortel it eventually went bankrupt it was the

SPEAKER_03: dot com, one of the darlings that eventually blew up. So talk to me about that whole episode with Nortel because I think it's fascinating and really says a lot about you. I'm going to try to make it as succinct as possible. There were a few things that surprised us. Notably, they would complete an acquisition that could have been in the billions in size and they would do them in weeks. Having done due diligence work. I know that to complete due diligence and do it in two weeks and then two weeks later or four weeks later, I'm gonna do another multi-billion dollar deal. It just doesn't work. Like you can't possibly do a good job. Then you say, okay, they're doing these acquisitions and they're using stock. Okay, well, the accounting rules say, that there's therefore no cost to the acquisition. Because if you spend money, then you have a cash outflow on the cash flow statement. But if you use stock, there was no cash outflow. So we said something novel. We said, imagine they had issued the stock, raised

the cash and went and made the acquisition. And that was actually hurting their cash flow. And then we said, wait a minute. This is growing through acquisition. So when you're doing free cash flow, if you grow through capex, then that's considered part of free cash flow. If you grow through acquisition, that doesn't get included in free cash flow, according to your CFA textbook. And I don't have a CFA, so I don't care about all these structures. In fact, that's what I tell people the problem with studying CFA. it creates group think. It's not a bad thing. So does studying to be an accountant. But that's if you understand business, then you interpret what the accounting tells you. So we said, if you grow through acquisition, then the acquisitions like CapEx, and you need to allocate a portion of that acquisition to keep the operating cashflow flat. And that should be considered your maintenance CapEx. Then we said, Wait a minute, they're growing, but they're extending customers credit. That's considered a long-term receivable. That's part of a financing cash outflow. Wait a minute, if they did it at the short-term receivable, then that would be part of operating cash flow, which would flow through free cash flow. But if you just say, pay me longer than an operating cycle, maybe that's 30 days, maybe that's 120 days, whatever, then it shows out of that. So the morons that just follow operating cash flow less capex would say look at all the pre cash flow But if you include the long-term the receivables, you'd see that the cash flow was negative and so those were the type of things that we found and We said we don't know what their organic growth is because they're growing through acquisition So to us, we don't know if this business is growing or not. You're paying a higher and higher multiple Didn't add up

SPEAKER_00: When you started to figure this out and you and you kind of came to the realization that the Canada's largest stock was was problematic and You went around and told people there must have been a lot of disbelief like push back immediately for you What what gave you the confidence to stick with it? And why were you so sure you were correct? Like because everyone around you

SPEAKER_03: Has invested interest to be telling you the opposite and not only that I'm assuming that a lot of people fell for this You know, I I think it's you have to have people around you That believe in you and at the time that was Michael Palmer And Bill Marshall there were much my seniors

and they were Part of the business Bill Marshall was the sales and Mike Palmer was the president running the business and they believed in it. And I think that was me. And I think I was just too young to realize the magnitude of what I was saying. And I think because of that, it was easier for me to say it. Oh, I get it. Listen, there's a famous story that one of the market wizards, they went and they got bullish on stocks and they were

SPEAKER_00: I think it was in the early 80s after that kind of 15 year bear market or at least the sideways market. And he knew himself that he wasn't going to be able to go, whoever this market wizard was, and buy stocks aggressively enough because he had all the scars from the years of doing it. So he hired a young kid. And the reason he hired a young kid was because he didn't have the scars. So to some extent, you were like that. Okay, so this is Nortel. The dot com bubble crashes and then all of a sudden there's probably not as much business for you for a little while. But then we get the the GFC going up into the GFC and there's lots of shenanigans happening there as well. What did you see and how did your forensic accounting help you there in terms of figuring out the banks? And it wasn't just the GFC. Canada had its own specific problems, which were slightly different than the US.

SPEAKER_03: Yeah, we had something called our ABCP problems and the banks were holding Fixed income and and so we I we went through each of their fixed income and looked and saw what was in there and Found that they had the ABCP paper found that they have CDOs and CDO Squares and said, wait a minute, they're valuing at this price. They're holding it at par. That doesn't make sense. There could be a run on this. And we called out National Bank. It was a big one and CIBC. We were very early on CIBC. And it was because we went through their note disclosures and said, wait a minute. They're having all this unrealized losses through their comprehensive income, and yet nothing's of course showing through their earnings. And that's just because these are held to maturity and all that stuff. And we said, wait a minute, this is going to eventually come across and what is in there. Were you, are you shocked that this, the same thing just keeps happening? Like, this is like, I'm listening to your story.

SPEAKER_00: and like all this accounting problems and we, you know, like we might as well get to today because one of the reports you wrote recently is how much today some of these kind of Neo clouds and stuff look like Lucent Nortel Cisco from way back when, but like a little part of you has to be like, gosh, you think that they would learn their lesson. You know, it really comes down to

SPEAKER_03: One of my favorite books, Popular Dilutions and the Madness of Crowds. And everybody should read this book. But basically, the consistent additive to every mania is people. And people are driven for fear, they hate fear and they love greed. And the more money that's being made, the more NP is created, the more FOMO comes. And as a result, the more money that's being made, the less questions that are asked. Because when everybody's making money, nobody has questions. And that's consistent if we talk about tulips, railroads, houses, big chips, data centers, we can keep going.

SPEAKER_00: When everybody's making money, it's like being at a party and there's lots of alcohol. Everything's gonna be fine. Okay, so let's talk about the current environment because it's very much like .com, right? Tell me what you're seeing, what's worrying you in terms of the current environment and its resemblance to the .com crash. Look, it's the same but different.

SPEAKER_03: So it requires significant amounts of capital. And you always need that in order to sustain any period of exuberance. Notice you don't know it's a bubble until it bursts. It's just a period of exuberance. So liquidity is like alcohol at the party. And so to me, if I'm monitoring what's going on, I want to see what's happening with the liquidity. the further we are on in the party, the more difficult it is to get the liquidity, the alcohol. And so if I look back to the 2000s, Nortel as a key component, because they produced the fiber optic cable, you needed the fiber optic cable, then you needed Cisco's routers, you needed Lucent's software, and and other kind of products and otherwise you couldn't get the internet to work. So Nortel said, well, wait a minute, we're the biggest great balance sheet. Tell you what we're gonna do. Don't pay us in 30 days. Why don't you take 180 days? How about you take 360 days? It's all good because we're building up the

internet. This is changing the world. You guys are gonna be able to sell this service for unlimited prices. So they did that. And it ended up failing when the customers couldn't get the capital. So it always becomes a tug of war between the customers, those that are building out the exuberance. And today, we're talking about data centers. Back then, we're talking about the internet. They have They're pulling that they need invest. They need capital because otherwise they can't pay for the chips. They can't build the buildings. The customers in Nortel's case needed the capital to pay for the fiber optic cable. So Nortel gave them an extension. It eventually the customers couldn't didn't generate cash. Investors got impatient and the thing rolled over today. What we're seeing is Nvidia investing in customers, okay? What started out that way? Then they said, well, you know what? Everybody's onto this. Like the first time we wrote about this was in 2023. When Nvidia first did a deal with CoreWeave that no one looked at. Then we looked at every single transaction that Nvidia had done, every investment that they made and found that about 80% of them were in customers. Now not material in dollar amount, but interesting that it was in customers. Now we don't know how much those customers were actually purchasing, but we knew that they were finding things their customers somehow. But nobody cares because revenues are growing, earnings are growing, everything's fine. That started out with just the customer financing. Then it became, we'll guarantee the lease payments on the data centers. And they said, wait a minute, this is such a great business. We will guarantee the revenue on that data center. And if it's less than that, we're covered. And if it's more, because it's such a great business, I want a percentage. Don't you want to buy my stock? I mean, I'm investing in the future. And then they did one better. Last quarter, they said only to our investment grade customers. We are going to give them 12 months to pay for that chip that is in such high demand. We can't even produce enough of them that we don't care. We don't even want to accept payment. At the end of the day, you again have a tug of war. The customers of Nvidia, they need capital, which has to either come from other financiers or from a positive return on investment. So far, there's no positive return on investment. So they're having to continue to go to the market. And because you're starting to see that they're getting more creative, there's off balance sheet vehicles being set up. Meta set up Hyperion last year, 45 billion off balance sheet lease agreement. that is guaranteed by Metta, financed by Blue Owl, and

because of how they set it up, they claim that they have lower capex, but they really don't. It stays off the balance sheet until there's a possibility, or it's probable, that they will have to cover those lease payments. That is, the data center doesn't generate enough revenue on its own to cover the lease. So we're at the early stages. we're not gonna see this kind of unraveling on the balance sheets until that data center is built and you start to see that it's not generating enough revenue to pay for the lease payments. And then because Nvidia was probably involved somehow guaranteeing the lease payment too, we'll see them start to recognize some

SPEAKER_00: of these off balance sheet liabilities. Whether it's the lease payments, perhaps the revenue guarantee, they'll have to take provisions on the long-term receivables. You see what I mean? How do you think this plays out in terms of like, is the market going to be ahead of that and smell that before it occurs? Like, are we already experiencing that? I think the market is waking up to this. Or is this just a little hiccup and, you know, it won't be till we actually see

SPEAKER_03: the accounting change that the market will sell off. So we're going to look for that accounting change. I don't think the market's going to look at note number 27, subsection three in the footnote. They're not going to think that that's important. What I suspect they're going to be ultimately hit is when they warn on their current earnings or they lower guidance. Nortel, I will never forget, it was February of 2001. They raised debt. And in that same week, two or three days later, they warned. And to us, when they raised debt, I said, wait a minute. So that means that future cash flows, dreams are being financed with debt. That's the end. Where else are they gonna get money?

SPEAKER_00: Well, this is the thing about this bull market that was always so just so amazing to me was Early on it was like don't worry about it It's all getting you know find a set of free cash flow and these guys are making so much money You don't need to worry about it Then all of a sudden we hit this point where they're like, oh, you know what? They actually need some money So they start raising debt and they raise debt to the the largest amount that they've ever raised in terms of the hyperscalers and the mag sevens, and they're just raising money. And they go, don't

worry about it. It's OK, because the reality is there's going to be tons of money down the road for this. Then all of a sudden, OAS, Option Adjusted Spread, start blowing out. And next thing you know, what are they doing? They're raising equity. Right. And this is these are market. Don't forget the whole bull market. of the bull reason for tech stocks was that they were free cash machines and they were buying back to all these stocks. Like go look at Google, amount of shares outstanding. It was declining, declining, declining. Now all of a sudden, whoops, largest secondary in history. What about Apple? Yeah. It doesn't have earnings growth if it doesn't buy back stock. Yeah. But, you know, I don't know, man. They issued debt.

SPEAKER_03: To buy back stock. To me, worst thing a company do. The value of the stock is a derivative of the underlying fundamentals of the company. It can change on a whim. The debt obligation, there's no whim. This is the amount you owe me back and this is the interest rate. You finance a building with a... with a loan because those bricks are worth something. The stock could be worth less for nothing that the company did, nothing that management did. And that's why you asked me, is what we're experiencing right now, the market realizing that this is not going to work? And you've been doing this a long time like me. You never know what the catalyst is going to be. Yeah, I never said that. You know, Valiant blew up when after Hillary Clinton tweeted during the campaign in 2016, 2015, saying that there is a company with the first name, whose name starts with a V, that is gouging prices in the pharmaceutical industry. And she was concerned about that, essentially. And people made the link that that was valiant. And then everybody said, so their business model is just making acquisitions and increasing price. Oh my God. And you mean their earnings number, they make it up and it's all adjusted numbers. And it's like two and three times what the gap number is. Remember, nobody cares until they care. And then when they care, they care a lot. And so... These that these little, you know those the things I'm telling you It's the things that make it the same because it's the people's reaction So yet today, what do we have? We had a change in the midterms. So now it's all blue So everybody's freaking out that gonna be fewer data centers fewer chips. So But none of the companies said that anything's gonna slow None of the expectations changed. Revenues didn't change. Everything's fine. Like if you just step back, you go, okay, this noise happened, but India is going to report results

in a couple of weeks. If they hit all the targets and they say their future projection is going to be fine, why shouldn't the market go higher? You and I can argue that it doesn't make sense. There's all these other issues. But what I've learned, over time is that it takes a long time to flesh out the positivity. Because as humans, we love hope. When I tell you a story of a stock to buy, I'm telling you a dream. You can't argue with the fact that SpaceX IPO says that they're gonna change the world. They're going to bring data centers to outer space. They're going to bring humans to populate other parts of the universe. Like these are fantastical stories. How much is that worth? Whereas I tell you the bear case. It trades that over a hundred times EBITDA. It burns cash. It has obligations that will ensure that it's going to burn cash in its foreseeable future that We don't have the ability or technology yet. I think to build the data centers and outer space And yet none of that so that's the let's say the bear case bear case is always based on facts and The danger as I've learned over time is That I can be as you know one of my favorite He actually was rich from Charlie Munger And it's human misconceptions. And every human should read this, whether they're in investing or not. But it tells you all the weaknesses that as humans we have. And one of the ones he talks about, they say, whoa, I'm a forensic accountant. I found something in note number 27, subsection C. Nobody knows about this. This means the company's going to be out of cash next year, short the stock. You're an idiot. You're really smart. You found something interesting. But if nobody is going to care about it, not today and not ever, that note 27 subsection C took up some space on a page. It won't matter. I think we might be getting into a world where stuff matters again. And one of your theories is that it's never been a better time to be an active manager. And you think there's a lot of risk in passive investing. Why do you think that? Well, you know, even the mighty Buffett said that passive investing is the way to go. And I think passive investing works because interest rates go down. And when interest rates go down, valuations of everything go up. And as a result of that, those companies that are have the longest dated cash flows, which are technology companies, they will gain the highest valuations. And because the index is market cap weighted, when 1 goes in, they believe they're buying 500 companies, which they are. But today, roughly 46% is telecom and communications, or technology and communications. And if we add Tesla and Netflix, we'll get over 50. So you're buying basically one trade. If that goes wrong, as it did a couple days

ago, the market will fall 4%. And so now you own this passive investment and you look at it and you say, because you probably bought it on your discount broker and you're trying to click through. Why is this happening? Why is no one stopping from falling? Passive funds are unmanaged funds. It's essentially like driving in a car that's autonomous. It's an autonomous vehicle. It's going in the direction that you told it was going to go. It didn't care that there was a pothole on this road. It didn't care that the slope on this road wasn't very good. That wasn't the point. This is the shortest route. It's taking that way. And there's no one to say, hmm, this road is now slippery today. We should probably go somewhere else. And while everything was going from the lower left to the upper right and the story was positive, everything is great. And remember, I started by saying humans are conditioned that when somebody makes money and it wasn't me, I now have envy. So I want to get what my body has. And then... Somebody else says, well, I got FOMO, I got to get on this too. And then they tell two friends and they tell two friends and it grows. And I think today there's a lot of risk in the passive investment because it's one trade. And that's not including all the financial institutions that have significant wealth and asset management that's tied to the markets. It's not including the power companies. It's not including the construction companies that are building the data centers.

SPEAKER_00: All of that's tied to the same trade. I saw something, there's a Goldman Sachs study. They go through the concentration of markets over time. And I think if you go back and look at the other times that we were this concentrated, I think it was like 1929, 1962, and 2000. Those were not good times to buy our own equities. Maybe they're not a good time to buy equities, but there's something else that has been just kind of like the beaten with a stick and nobody likes, and it was actually kind of funny how much sentiment is turned on this because it was only five, six years ago that everyone thought bonds were all the rage and could never go down in price. And now it's kind of funny how five years of them or four years of them going down will change people's attitudes. But you have a different opinion. You think bonds are something that people should be looking at now here. Why is that?

SPEAKER_03: The yield on the S&P 500 is lower than the 10-year bond. And you're supposed to get paid more to take equity risk, not less. So conceptually, it's not right. But let's leave that in a textbook. Then you say to yourself, okay, rates are currently five percentage. We know that governments around the world paying excessive amounts of debt. The U.S.'s largest payment is interest payments, and it's going to get worse because then you have old age security, et cetera. So this problem of high interest rates is putting the entire world in a vice. It's like putting pressure. Too much debt is always pressure, especially when rates are rising. And so now let's look at What dry what's driving the rates to be higher? Well inflation. Well inflation is tied to something that's Started by the US which is going on in the Hormuz Strait and of course the swing that took place in interest rates when they went down 2022 and they started rising Cake to offset that but I want to leave that aside So what I think today is that much of the high interest rates? is tied to these extenuous issues which are related to oil prices. I think that can be solved. Not that we go back to 50 bucks or 40 bucks or dare I say minus 37 like in June of 2020, but I think that will ease inflation. And now let's take back the trade, the key trade, which is AI. Well, if AI works, and companies become more efficient, then what will they do? They'll compete with each other. We could have prices going down. They're going to cut people. And what is the central bank's key driver? Employment and prices. And so if you have a shock to prices, which is lowering, and you have a shock to employment because AI works, Then they got a lower rates. Now, let's say AI doesn't work. Then you take away data center and the associated build out and GDP last year is essentially flat. So now how do you stimulate economies? Well, the government only knows one way they got it's like a hammer in a carpenter's hand. The only thing they know how to do is hit that is everything's a male, right? So they lower rates. So whether AI works or it doesn't work, rates are going down. And we may think Trump is crazy that, you know, he's been pushing the central bank saying, well, putting undue pressure because he wants to lower rates. He knows how to do the math. He looks and says, we're taking on all these trillion dollars of debt, which we need to do because we want to stimulate the economy and keep it growing.

SPEAKER_00: If rates go up, it's gonna be a harder, we're gonna have a harder time to finance this. Well, speaking of rates going up, recently the

Bank of Canada has raised rates and one of your kind of calls recently has been that Canada will outperform the US. Do you think that with a hawkish central bank that will continue to outperform it, what makes you confident there or what drives your forecast of the?

SPEAKER_03: loony or not the loony, but the Canadian stock market outperforming the U.S. Canada has its problems. We could talk. Well, is the gold price going to stay up? Oil prices is vulnerable because of hormones could get settled. Banks all were very concentrated on financials. Something could go wrong. But we're not one trade, which is AI. And so if there's a shock to the AI trade and you saw it. Okay, when the NASDAQ was down six, the S&P was down four and a half, TSX was down two. Now, one day is not a trend. I don't suggest that everything's gonna be the same every day, but I'm taking the outcomes that I can see and why I believe that took place. And I think that that can sustain itself. So that's the basis of that.

SPEAKER_00: Do you worry about our banks though here? Because like one of the things that I think is happening is money's coming back to Canada. I think that Carney's encouraged all the pensions and other kind of long-term investors to bring money back to Canada to fund what is needed in terms of our build out. But one of the things that kind of seems to me that's happening is it just going back into the index and you know, the US might have a lot of AI stocks in their index, but we have a lot of banks in our index.

SPEAKER_03: I look at the valuation of the banks and I'm scared of the Canadian banks up here. So valuation, in the way we think about the world, is the last stage of the process of the investment decision. Because valuation is an art. Analysis is the science. So when you look at the valuation, you say, whoa, they're expensive on a price to earnings basis. Fine. But that's only a problem if you are concerned that either the multiple contracts, because rates are going to go higher, or I'm talking central bank rates, assuming that markets properly discount that, or earnings, future earnings, are going to slow their growth rate. So the key to figuring out whether that multiple is a problem is to assess what's been driving the earnings. And in that case, what makes me concerned is that 40 to 60%, depending on the

bank, has come from capital markets and wealth management, including asset management. So again, one trade. What's been happening over the last year? Maple bonds, all the largest hyperscalers raising money, record levels, SpaceX IPO. These are all huge capital market fears. All the bond offerings, all the private stuff. So that's been driving. If that slows, then that's going to hurt capital markets. If that slows, markets fall, that's going to hurt wealth management. So those banks I'm most concerned about are those that are most levered to capital markets and wealth management. Those that are sticking to you know, Canadian banking and and wholesale banking etc. Look Everybody's gonna get hurt when it rains even when and it's pouring You're gonna get even if you have an umbrella outside you still get wet. Okay, the water the water goes sideways There's a lot of things that happen so But but the ones that are most vulnerable again looking at the earnings are those with the high exposure Can you share those with us? Which ones are which? Well, I think the one that's most exposed is probably national. OK. Right. And then the next one largest exposed is probably RBC. Now, we've got to balance that with the fact that RBC also has so much of everything else. Right. It's such a stalwart within the rest of its businesses. So it's hard for me to say just because of that, but definitely in the case of national.

SPEAKER_00: And then I probably look at a BMO as well. One of the things that when you started to talk about the earnings falling, I was expecting you to talk about real estate and you didn't. What do you feel about Canadian real estate and are you worried about its effect that like we've had some tough times and the market is definitely corrected a lot. Is it finally time to buy or is it?

SPEAKER_03: the pain going to continue and will it ever kind of show up on the bank's income statements? Great question, Kevin. So for the last 14 years, we've been running what I think and has been described as Canada's most honest and direct real estate conference. It's called the Great Canadian Real Estate Conference. And we have it every fall. And this past fall, we just had it in about a month ago. in October. And the theme this year was, are we there yet? And it was very interesting, right? Because are we there? I didn't say where. Could have been at the bottom, could be at the top, could be somewhere halfway. Are we there yet? I think most people would

assume it's the bottom. And what I think I've concluded, and I wrote already a summary, so I'll give you the 10 cents. Look. I've been a bear on real estate probably for the last 14 years. That was what drove me to think about doing this conference because I have clients that had similar concerns. So we took them on a mystery shop. And we've done this before with many of our businesses. It's how we found Mount Valiant ultimately had all the fill a door fraud that they were doing. I pretended to be a customer. Oh, wow. Yellow pages. We pretended to be a customer. Like if you want to understand how a business is working, be a customer. So are you going to buy some Neil clad compute soon? Well, I did call Corweave when they went public. I wrote I read I wrote a report on the S1 and I said this report reads like accounting porn because they had everything like governance issues stuff that we haven't seen since 2000 lead underwriter Goldman Sachs oh sorry I think it was JP Morgan I now it's been a while I haven't looked at it it was one of the two they gave them a billion dollar loan guess what to be paid back by the underwriting And they were the lead underwriter. You can't make this up. Okay, let's go back to real estate though, because I'm sure all the Canadian. I get all wound up. People have asked me, why do I do this? Because I can't stand the little guy getting screwed. So real estate, we went on these mystery shops to see what it was like to buy, what the sales experience was like. And in essence, what made me concerned, I was suffering from one of Charlie Munger's human misconceptions, which is, and this is the problem I got to fight with always, I'm gonna favor what I'm really strong at, which is analysis. Doesn't make sense to income, doesn't make sense to a replacement cost. The numbers don't make sense. And so it doesn't make sense to rent. And so we said, well... Why would I buy something? The only reason why I'm buying it is to sell it to somebody else for more. I didn't realize the rates were going to keep coming down. That immigration was going to take off the record levels. That the government was going to be so strict on new construction. Anyway, where we are today, I think, is we're in the bottoming part of the market. We're not at the bottom. Real estate is an illiquid investment. It's much different than the stock market. In the stock market, there's a budge and you see a million shares traded, which again, is still not meaningful. We get to a whole discussion, but you see lots of transactions. In real estate, you're looking at a fraction of 1% that actually trades. And you're determining the average price. You're determining the value of your

building. based on those recent transactions. But those recent transactions may not be indicative of a liquid market. So what I think is going to happen here is we're going to get some significant displacements. That 2 million house that's been sitting for a while because it used to be a two and a half and then they put it back on a two is going to eventually sell at 1.2. And then everybody's going to look at it and go, oh my God, this is a fantastic time to buy. or if I'm already underwater and I can't hold that anymore, I better sell. And so that's going to create the bottoming. But that's significant pain still ahead is what you're arguing. I would argue that there will be some significant pain and displacement. Yes. Right. Okay. And so does that then translate to finally some negative income for the banks? Because so far the banks You know, like the housing market is corrected and it hasn't affected the banks. The banks are at all-time highs. But under your scenario, does it actually leak into the banks? The only way it leaks in... Well, first of all, banks don't lose money on mortgages. It's very little. Okay, even during the financial crisis, the impact was basis points. They lose money on credit cards. They lose money on unsecured lines of credit. They've been largely keeping out of this because there's been an entire gray market. All those mix that have been mortgage investment corporations that have been financing, those things are the ones that have picked up the slack, especially in the last five years, to finance things that the banks didn't want to. That's not that the banks are not going to get hurt, but that's been happening. So what I would watch, I'm going to leave you with one last thought. What I would watch for that's going to be the key trigger is job losses. If you don't have a job, it doesn't matter what the interest rate is. And so what's happened now, our unemployment's gone up. But that's because that guy that used to sit in Ottawa, can't even say his name, he increased the number of immigrants at a rate which was faster than the number of jobs that were created, that it creates unemployment. But that's not the same unemployment like what we said in the early 90s, where unemployment rates went to 13%. And immigration was at much lower rates. So those were real people that had a mortgage that lost their job. Now those immigration numbers are way down. So when last quarter, last month, sorry,

SPEAKER_00: We saw 68,000 job losses here in Canada and the month before some 20,000. If that continues, then you'll see this, the pain. One of the things when you were telling the story about the banks not going to be

hurt because they're actually not the ones on the hook for this. The part of the, let's just say the part of the stack that's going to get hurt is in banks and it's private mortgage investment corporations and things like that. I was immediately kind of just like completely agree with you. And I was wondering whether what you feel about the whole evolution of private markets, how they've expanded. And in essence, a lot of the things that we looked at in 2008 or 2007 and eight, the banks doing all these crazy things there now it's being done by private and private credit and private equity and things of that nature. So the reality is

SPEAKER_03: that is, are we gonna have the rich people get absolutely hosed in their private investments in the coming years? Yes. Yeah. I think what's happened is, again, the key to sustaining the period of exuberance is liquidity. Liquidity is like oxygen. You don't know how much you need it until you lose it. Liquidity to a period of exuberance is like alcohol at a party. Right. Near the end of the party, you start running out. So you go get your dad's stash. Then you go to the neighbor's stash and the privates. That's what they are. And what have they done? They started with the sovereign funds, then the pension funds, then the mutual funds. Now they've gone to retail. And so you've gone from a billion dollar ticket to twenty five thousand. That in itself tells you that it's becoming harder and harder to sustain the game. You're seeing extension funds, tertiary funds. And so basically they're having a harder time monetizing those investments. And so now they're putting it into insurance vehicles. This is a whole other thing we're spending time looking at. And that's putting now the risk on policyholders, which is very dangerous. But so I think these entities are kind of the last straw of providing the financing and the fact you're seeing gating cuts to distributions. Those don't happen when things are going well. Got it. Okay. Before I let you go, I have asked you a lot of different questions. If you were the interviewer, and you were interviewing yourself, what would be the question that you would finish up with? Like, what have I failed to ask about that you feel is an important aspect of the market? What am I missing? That things take longer than you think and happen faster than you expect. I know everybody's heard that before, but this is a very choppy market. It's going to be very difficult to make money. And you're seeing it, you know, company like Element released results. They were a little bit soft. Maybe their guidance could have been a little bit lower

than expected. Stocks down 20 points. Like there's meaningful pain going on when companies miss, which means that the stock picking is very important. So what I think if someone were to leave me with a thought, These are markets where you don't want to be taking undue risk. It's a time where I said we're early on, we're in the thunder period. There hasn't been any lightning and there's definitely no storm. So in the thunder period, you want to start thinking, wait a minute, has my investment gone up in value because earnings have increased, because cash flows have improved? Or has the multiple just expanded? And if it's the latter, then you got to ask yourself, okay, is that multiple expansion sustainable? And if it's not, because it came from expectations that there will be data centers in the outer universe, then maybe it's time to lighten up on some of those stories. Because what sounded like a good story at the party when it was like 1.30 in the morning,

SPEAKER_00: when you wake up again at 11 a.m. that that story it's not gonna sound so good okay that's some great stuff now before we let you go you like that i like that i like it oh we're gonna play a little game we're gonna do desert island discs uh trader edition so you have to give us your three top bands or albums i don't care whatever you want there are three top ones and then if you were on if you were stuck on a desert island These are the only three things you can listen to. And then also what trader or investor at any point in time, like they could be living dead, would you want on the island with you? Let's start with the three bands or albums. What's your first one? First one is ACDC Back in Black. Nice. This is my favorite band of all time. It's not even close. And I was 10 years old when that album came out.

SPEAKER_03: Yeah, and I remember sitting in my buddy's basement John McDonald and his brother Hugh He was three or four years older than us and he was already in high school, right? I think yeah, it was like 15 problems in high school and so he had the album and he had the Record player my buddy didn't have a record player. So we finished school before he did so we'd get home first We'd rush home and we'd be listening to this album, but I'm talking about over and over. And he would come home and he'd get angry and kick us out of his room. But I remember like Hell's Bells, like Back in Black. I can't. OK, well, that's it for what you remember too. And then the other ones are lighter of importance. But there's a great album

and a great comedian, George Carlin. I think George Carlin is absolutely brilliant. You'd think that comedians are dumb. They are brilliant. I learn a lot from comedians. I watch comedians do shows because I do a lot of presentations and it helps me become a better presenter, helps me become a better orator and they're masters. And the one that stands out most of course is the seven words you can't say on television for sure but there's so many others well i like the one where he says like you take uh the average person and then think about how dumb they are and then yes um okay number three what's the third one the third one is a bit out there okay it's um it's uh abba greatest hits and i i'm very eclectic i i play piano I played guitar. And I just loved those songs, you know, Dancing Queen and anyway, Fernando and so on. It just there was so much fun. And I remember dancing to them in university and over and over and over again. I know that sounds silly. Oh, no, I can't remember who it was listening to or reading the other day. But it was somebody that was in Sweden trying to buy the original. Because some of those songs were sung in Swedish and you can get the original ones in Swedish. So you should think about that. All right. And which trader slash investor would you have on the island with you? Charlie Munger. Charlie Munger. It's not even close. Charlie Munger is brilliant about everything. Just and I think investing, as I've learned over time again, because I started with a background in deep analysis, tiny, tiny fundamentals. And over time, what I've learned how important behavioral finances right and understanding people because people, you know, see stock charts. Stock charts are really people reacting to what's going on. The better you understand people, the better you'll be able to determine when

SPEAKER_00: they're gonna figure out that today it matters and then it's gonna matter a lot. Right, that's awesome. Okay, so let's finish it up with you telling us a little bit about Veritas. Explain your firm what it is and then also you know who should reach out to you like is it institutional only and what's the best way for them to you know find out more or get some samples from about your work. So we're an independent equity research firm.

SPEAKER_03: We use a forensic based approach. And that means that we're looking to analyze yesterday's performance to critically assess whether it's repeatable, sustainable, whether it came from business

innovation or accounting innovation. That's our rockets. There's no rocket science. We just spend more time looking at the details so that our forecast can be better. And we're going to avoid things that could go wrong. That's the number one thing, which is the cornerstone of our business. It's about avoiding the bombs. Because the longer you do this business, the more you realize that the markets are rigged to go up. And so if you can avoid those stocks that are going to go down, you'll be very, very, very successful investor. So that's how we do our research. Who should reach out to us? Pension funds, mutual funds, family offices. We deal with a number of retail platforms, really most notably RBC Dominion Securities, where we're exclusive. And we launched an asset management arm, which uses that research to manage portfolios. And we also launched the foundation where we use that same forensic based approach to help donors make better donation decisions. Got it. So Veritas,

SPEAKER_00: research. Anthony, it was a real pleasure having you on and I really thank you for your time. Thanks Kevin. That was a lot of fun. Take care, buddy. Bye-bye. Bye.